corporate structure should not impede effective supervision of the bank and the NOFHC by RBI.

8. *Prudential norms for the NOFHC:* The *prudential norms* will be applied to NOFHC on similar lines as that of the bank.
9. *Exposure norms:* The Bank/NOFHC allowed no *exposure* to the Promoter Group – the bank shall not invest in the equity/debt capital instruments of any financial entities held by the NOFHC.
10. *Business Plan for the bank:* The business plan should be realistic and viable and should address how the bank proposes to achieve *financial inclusion*.
11. *Additional conditions for NBFCs promoting/converting into a bank :* Existing NBFCs, if considered eligible, may be permitted to promote a new bank or convert themselves into banks.
12. *Other conditions for the bank :*
    a. To open at least 25 per cent of its branches in unbanked rural centres (population upto 9,999 as per the latest census).
    b. To comply with the *priority sector lending* targets applicable to the existing domestic banks.
    d. Banks promoted by groups having 40 per cent or more assets/income from non-financial business will require RBI's prior approval for raising paid-up voting equity capital beyond Rs. 10 billion.
    e. Any non-compliance of terms and conditions will attract penal measures including cancellation of licence of the bank.

Non-Operative Financial Holding Company (NOFHC) [55]

The difference between an *operating company* and a *holding company* lies in the fundamental structures of the two, in their management and their interactions with one another. Business goals are often different, and both business types are after profits, but holding companies can still benefit from operating company losses under certain conditions.

The primary function of a ***holding company*** is to invest in other companies, commonly known as subsidiaries. Holding companies are usually not